Given such a scenario, where all the three major sectors of the economy perform better in 2013-14 as compared to 2012-13, the overall economy is expected to grow in the range of 6.1 to 6.7 per cent in 2013-14. Of course, these projections assume a normal monsoon, further moderation in inflation as expected (to induce further relaxation of the tight monetary stance), and mild recovery of global growth as anticipated. Forecasting at potential turning points is difficult, hence the relatively wide range this time.

While the current environment is difficult, the future holds promise, provided we can answer the question that is probably foremost in the minds of India's young population: ***'Where will my job come from?'*** India is creating jobs in industry but mainly in *low productivity* construction and not enough formal jobs in manufacturing, which typically are higher productivity. The high productivity service sector is also not creating enough jobs. As the number of people looking for jobs rises, both because of the population 'dividend' and because share of agriculture shrinks, these vulnerabilities will become important. Because good jobs are both the pathway to growth as well as the best form of inclusion, we have to think of ways of enabling their creation.

Agriculture and Food Management

Indian agriculture has performed remarkably well in terms of output growth, despite weather and price shocks in the past few years. Although agriculture, including allied activities, accounted for only **14.1** per cent of the GDP in 2011-12, its role in the country's economy is much bigger with its share in total employment as high as **58.2** per cent according to the 2001 census. The declining share of the agriculture and allied sector in the country's GDP is consistent with the normal development trajectory of any fast growing economy, but fast agricultural growth remains vital for jobs, incomes, and food security.

Average annual growth of the agriculture and allied sector during the 11th Plan at **3.6** per cent fell short of the target of 4 per cent but was higher than the average annual growth of 2.5 and 2.4 per cent achieved during the Ninth and Tenth Plans respectively. An important reason for the dynamism of the agriculture sector has been a stepup in the *gross capital formation* (GCF) relative to GDP of this sector. Overall GCF in agriculture (including the